

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA,

INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**COMPLAINANT SAMSUNG ELECTRONICS
AMERICA, INC.'S EXCEPTIONS
TO THE INITIAL DECISION**

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I. INTRODUCTION

The Presiding Officer's May 28, 2025, Initial Decision ("ID") correctly determined that SM Line Corporation's ("SM Line") charging practices were unreasonable and violated the Shipping Act of 1984, the Ocean Shipping Reform Act ("OSRA 2022"), and critical Federal Maritime Commission ("FMC") regulations governing demurrage and detention ("D&D"). The ID found that SM Line violated **all three counts** alleged in Samsung Electronics America, Inc.'s ("SEA") Verified Complaint ("Compl."), "regarding [SM Line's] practices and the billing and payment of costs and charges on shipments of cargo, including demurrage, detention, rail storage, and other inland transportation charges." ID at 1, 49-59.

The record convincingly demonstrates that SEA suffered substantial harm from SM Line's unreasonable practices, which included systematically imposing D&D charges on store-door shipments without first determining whether SEA caused the delay. SM Line sought to maximize its substantial profits by requiring SEA to pay *charge after charge after charge* to receive its cargo, amounting to over 18,000 charges totaling more than \$14 million. To support the conclusion that SEA prevailed on its liability claims, the ID included critical liability findings, as follows:

- Charging the consignee for delays caused by port congestion, in a "circumstance beyond the control of the shipper" and caused by chassis shortages are unreasonable practices. The ID also states that, "[w]here no party is at fault and neither party can be incentivized to act, the imposition of detention and demurrage is likely unreasonable." ID at 50.
- Rejecting SM Line's customer nominated trucker ("CNT") and contract/tariff-based arguments categorically and instead deciding liability on "the fundamental question under the Shipping Act is whether SM Line's practices are reasonable." ID at 50.
- Finding that the carrier is responsible for inland transportation under through bills of lading (store-door moves), as "[b]oth parties also agree that an ocean common carrier is responsible for inland transportation on a through bill of lading." ID at 49.
- Finding that SM Lines' general D&D Practices were unreasonable under the Incentive Principle by focusing on revenue not the incentivizing function, stating, "**SM Line maximized the collection of demurrage and detention in order to maximize profits** is also evidenced by the fact that it invoiced charges based on its service contract and tariff

regardless of whether SEA was at fault. ID FF ¶¶126, 146. This practice is at odds with the incentive principle.” ID at 52 (emphasis added).

- Finding that “**automatically**” charging D&D to the consignee on store-door moves regardless of fault is an unreasonable practice. ID at 53.
- Issuing post-OSRA 2022 invoices without required information is a violation and results in no liability to pay. ID at 58.
- Finding that SM Line charging because of Port Congestion and “circumstance[s] beyond the control of the shipper” is unreasonable. ID at 55.
- Finding that SM Line charging because of chassis shortage is unreasonable as “[t]he record also shows that SM Line was responsible for providing chassis to SEA in store door moves and also provided chassis in CY moves. ID FF ¶¶74-77. For this reason, the imposition of demurrage against SEA when chassis were not available would not incentivize the movement of cargo. Because SM Line was responsible for the provision of chassis, the undersigned finds that the assessment of charges against SEA due to chassis shortage was unreasonable.” ID at 55.

These liability findings should have resulted in SEA recovering **over fourteen million dollars** in unreasonable D&D charges **paid** on SM Line container moves. Instead, SEA was awarded only \$1.91 million in charges that SM Line admitted were improperly charged to SEA because they related to port congestion and chassis unavailability. The Presiding Officer calculated SEA’s award based on SM Line’s admissions against interest contained in an internal report that SM Line was compelled to produce. ID at 55, 59-60. Following a clean sweep on liability, the Presiding Officer’s damages analysis is incorrectly premised on the erroneous perception that this Commission mandates a container-by-container analysis to recover damages. ID at 50.

Complainant SEA, through its counsel, respectfully submits exceptions to *certain* findings of fact and conclusions of law in the Initial Decision that are unwarranted and merit reversal under 46 C.F.R. § 502.227. Once the Presiding Officer found SM Line engaged in multiple Shipping Act and OSRA 2022 violations, it was error to award no reparations whatsoever for the majority of the over 18,000 charges SEA was forced to pay on store-door moves of SEA cargo (except for \$1.91 million in charges where SM Line admitted fault in internal documents). This is especially true

after the evidence revealed that “**SM Line maximized the collection of demurrage and detention in order to maximize profits.**” ID at 52 (emphasis added). This finding *should have* been the foundation for a **full** reparations recovery, especially considering the Commission has recognized the prevalence of the inverted D&D incentive structure and the proliferation of carriers treating D&D charges as an enhanced revenue center during the COVID-19 pandemic, to the detriment of both importing and exporting shippers.¹ The misapplication of the law fundamentally undermined the damages analysis and prevented SEA from receiving full reparation for charges and costs it was forced to pay resulting from SM Line’s unreasonable practices.

The Presiding Officer’s error on its reparations finding can be traced to its Order on Supplemental Information issued two months before the ID and its focus on container-by-container considerations. The Presiding Officer, who was reassigned to the matter following the close of the evidence and full briefing, recognized the considerable work ahead based on the record amassed by the parties. In a March 12, 2025, Order for Supplemental Information, the Presiding Officer acknowledged there were more than “500 total proposed findings of fact submitted” in dispute, and that the “record shows the parties deposed nineteen fact witnesses and five expert witnesses, exchanged two expert reports on damages and four expert reports on liability, and produced thousands of pages of documents.” Dkt. No. 139, at 1 n. 1. Mindful that “much of probative evidence in this proceeding is peculiarly within the knowledge and control of the parties,” the parties were invited to respond to twenty questions, the overwhelming majority of which focused on questions about liability and the evidentiary support. *Id* at 2-4.

There was one question squarely focused on damages, number four, which queried “whether the record includes a container-by-container summary of the charges assessed against

¹ See *Detention and Demurrage*, FMC, <https://www.fmc.gov/detention-and-demurrage/>.

SEA, and, if so, specify by Bates stamp number where it is located in the record. To the extent not already done so, please produce the summary on an Excel spreadsheet.” *Id.* at 2. SEA answered in the affirmative, noting:

The record does include a container-by-container summary of the charges assessed against SEA. The bates number where it is located is SEA_SMLINE_0053658. CX_005723, SEASMLINE_0053658. This summary is included in the Appendix to Gregory Smith’s Expert Report at CX_005012-436, with supporting information as to how it was collected and authenticated from SEA’s business records. This allowed SEA’s damages expert Smith to confirm the charges SEA was forced to pay and that each and every charge was indeed paid such that reparations can be sought for the reimbursement of the monies paid.

SEA’s Response to the Order For Supplemental Information, Dkt. No. 141, at 5.

SEA’s reference to the record showing SEA **paid** \$14,534,787 in D&D charges, supported by an evidentiary record and verified by a forensic accountant expert, and without any contrary evidence quantifying SEA fault on the charges in SM Line’s papers, should have been sufficient for a full reparations recovery. But the Presiding Officer made a critical, incorrect evidentiary finding impacting the damages analysis which again focused on container-by-container considerations. The ID found:

The Commission’s requirement that the reasonableness of demurrage and detention charges be determined on a container-by-container basis suggests that the question of reasonableness turns on the specific facts and circumstances of each shipment at issue.

ID at 50. There is no Commission “requirement” for a container-by-container basis, as SEA will show below, and this one finding compromised the entire damages analysis.

SEA invested considerable resources to challenge SM Line’s unreasonable D&D practices and the evidence clearly demonstrated that SM Line’s systemic charging practices caused SEA to pay millions and millions of dollars in D&D charges. Once the Presiding Officer found that SM

Line’s practices violated the Shipping Act, in particular **charging SEA for all D&D charges automatically** without first determining a legitimate reason to charge them, the burden should have shifted to SM Line to demonstrate a reasonable justification for specific charges. Instead, the ID incorrectly placed the additional burden on SEA to prove lack of fault for each container, contrary to the Commission’s burden-shifting framework recently applied by the Commission in *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.* Dkt. No. 1966(I), 2025 WL 516256, at *7 (FMC Feb. 13, 2025) (“*TCW Order on Remand*”).

The concept of proximate cause is a critical one in the consideration of damages. But the result of the ID is that despite finding SM Line’s charging practices unlawful, **even if SM Line provided no other justification at all, SEA recovers nothing** unless SEA makes a further showing of the “fault” for each charge. It should matter that in store-door situations, SM Line is responsible for the inland transportation and controlled the circumstances causing or contributing to delays leading to D&D charges, *unless* the consignee was actually responsible for delays, such as inability to unload cargo. There is exceptionally little evidence of that here. For example, the Presiding Officer issued 189 Findings of Fact and, in those, it credited instances where SEA was responsible for charges in only **two** Findings of Fact. ID FF ¶¶110-111.²

² Findings of Fact 110 and 111 reference the deposition testimony of SEA’s former employee, Maria Kristina Fernando. In her testimony, she acknowledged that SEA should bear the costs for storage charges related to pre-pulled containers (ID FF ¶110 citing CX_003016-3027; Fernando Dep. Tr. 97:19 – 98:5) and for last-minute diversion requests (ID FF ¶111 citing CX_003091; Fernando Dep. Tr. 162:11–24). However, this testimony does not pertain to any specific containers involved in this proceeding, nor does it reference specific exhibits. Finding of Fact 111 appears to be derived from SM Line’s Proposed Finding of Fact 69, which cites Maria Kristina Fernando’s testimony on diversion costs in the same PFF as RX_0004214. SM Line did not attempt to assign a specific dollar amount to SEA’s liability for diversion costs in this PFF. Upon reviewing RX_0004214, it is evident why SM Line failed to do so—this appendix discusses the diversion of three containers: SDCU1722952, SMCU1150120, and TCKU9383827. The cited email does not confirm the diversion request, and the containers only incurred demurrage charges amounting to **\$1,890.91**.

When the Commission properly allocates the burden on SM Line to rebut or provide evidence of reasonableness to justify its charging practices (if it can), the record evidence is manifestly inadequate for SM Line to meet that burden. And with respect to reparations, the record will show that SEA has more than adequately demonstrated proximate cause.

SEA respectfully requests that the Commission correct the exceptions raised herein and award proper damages. The Commission should find that SM Line's unreasonable practices proximately caused the charges that SEA was forced to pay and award SEA **\$14,534,787³** plus at least **\$2.6 million** in additional non-D&D charges and lost profits which were incorrectly found to be speculative. In total, the Commission should award SEA **\$16,961,992** when accounting for some, limited responsibility found for SEA. *See* discussion, *infra*, at 50 n. 10. In addition, the Commission should award additional reparations under 46 U.S.C. 41305(c), as addressed in Section V.B. *infra*. Or, if there is *any* question as to the calculation of damages involving over 7,000 container shipments, the Commission should apply Rule 251. 46 C.F.R. § 502.251.

II. FACTUAL BACKGROUND

A. The Complainant.

Complainant, SEA, is a leading consumer electronic products company incorporated and organized under the laws the state of New York, with its principal place of business in the state of New Jersey. ID FF ¶1; Compl. ¶1; Answer ¶1. SEA provides its consumer goods to the American public online through Samsung.com; through retailers like Best Buy, The Home Depot, and Lowe's; and through distributors. Compl. ¶9; Answer ¶9.

Based on anticipated consumer demand for home appliance products, SEA places orders

³ CX_005012-CX_005435, CX_005437, Smith Damages Expert Report, Ex. 1, Ex. 2 (addressing total of all D&D charges paid by SEA); *see also* Section V.A.4, *infra*, for full net calculation explanation.

with overseas factories for the manufacturing and production of said products. ID FF ¶30. SEA was designated as the consignee for the shipments at issue in this proceeding. ID FF ¶29.

SEA does not contract with ocean carriers like SM Line for the transportation of its products, and is not a signatory to their service contracts. ID FF ¶¶28-30. The service contracts were entered between SM Line, on the one hand, and Samsung Data Systems (“SDS”) or Samsung Electronics Logitech Co., Ltd. (“Logitech”) on the other. SEA PFF ¶26; SM Line RPFF ¶26. SEA, SDS and Logitech are distinct corporate entities from SEA. SEA PFF ¶19; SM Line RPFF ¶19. SEA is named as an “Affiliate” in certain service contracts with SM Line, ID at 16 n. 12, but SEA did not negotiate, had no access to the contracts and only had general awareness of certain relevant terms of service. ID FF ¶28. SDS or Logitech (not SEA) arranged for the transportation of cargo from foreign ports to inland U.S. destinations with ocean carriers such as SM Line.

B. The Respondent.

Respondent, SM Line, founded in 2016, is an ocean common carrier that conducts business in the U.S. under SM Line Corporation.⁴ SM Line is an FMC regulated vessel operating ocean common carrier as defined in 46 U.S.C. § 40102(7) and (18) and is subject to FMC regulation.

C. SM Line Adopts Unreasonable Practices During the Pandemic.

It is undisputed that SM Line transported the SEA shipments relevant to this proceeding under through bills of lading from the overseas originating locations through U.S. ports and then on to designated U.S. inland locations. ID FF ¶26; Compl. ¶28; Answer ¶28. As is standard for through bills of lading, SM Line was responsible for both the ocean carriage of the SEA containers to a U.S. port **and the inland carriage** of the SEA containers to U.S. inland locations, generally SEA warehouses or SEA customer locations. ID FF ¶41; SEA PFF ¶22; SM Line RPFF ¶30.

⁴ <https://smllines.com/en/history.php>

Shipments under through bills of lading are referred to as “store-door,” “door-to-door,” or “carrier haulage” service, as recognized in the Interpretive Rule, Section O.

SM Line states on its website that it is committed to building a “comprehensive logistics transportation network worldwide” with the express purpose of delivering “value-added logistics services.” CX_00003-CX_00004, Compl. ¶13; accord CX_000021, Answer ¶13. This commitment is reflected in the breadth of services SM Line promotes, which include end-to-end logistics solutions such as overseas arrangements and inland transportation to final destinations like SEA distribution centers and customer locations—commonly referred to as “store-door” delivery. ID FF ¶24.

During the period of time in question, SEA did not have the operational infrastructure to manage inland transportation and was entirely dependent upon SM Line for inland transportation. SEA had no trucking dispatch capabilities, no contracts or arrangements with rail or trucking providers, and no written agreements with Customer Nominated Truckers for inland moves. ID FF ¶79; CX_002320, SEA 143(b)(6) Dep. Tr. 73:19-22; CX_002850-CX_002851, Goedinghaus (SEA) Dep. Tr. 76:24-77:1, 77:5-7. Once SM Line containers arrived at U.S. destination ports for SEA, SM Line had full responsibility for inland logistics—arranging truckers and chassis, scheduling terminal pickups, and ensuring the return of equipment post-delivery. ID FF ¶¶65-67, 72-76. SEA was entirely dependent on SM Line for inland transportation. CX_002636-CX_002637, Rapske (SEA) Dep. Tr. 24:6-25:16.

As the party responsible for providing the inland transport of SEA’s shipments, SM Line handled the transportation of shipments and settled D&D charges they (or their subcontractors) incurred during the shipment process, while retaining exclusive discretion to waive or stop the clock on such D&D charges at its sole authority. ID FF ¶159. Rather than exercising that discretion

to mitigate costs during a period of global disruption, SM Line did not waive or reduce D&D charges and instead shifted the financial burden onto SEA. During the pandemic, SM Line unilaterally ceased performing key aspects of its inland transportation duties, including settling D&D charges and coordinating inland logistics. SM Line began conditioning the continued movement of cargo on SEA's payment of D&D charges. SM Line systematically imposed D&D charges on SEA for all store-door moves pursuant to its applicable service contracts and tariffs, without regard for which party was actually at fault. This conduct reflects a deliberate strategy to maximize the collection of D&D charges in order to maximize profits—an objective that was uncovered during discovery in SM Line's corporate strategy documents. ID FF ¶133; CX_0004742-CX_0004751, Dep. S.H. Kim, Ex. 2.

In light of SM Line's refusal to perform its store-door duties and settle D&D charges, SEA was forced to intervene to maintain the flow of goods. SEA not only paid the D&D charges that were SM Line's responsibility, but also invested substantial resources in 2022 to develop its own inland transportation capabilities. ID FF ¶¶50, 52. At that point, SM Line's cargo movements effectively shifted to container yard or "CY" freight service. ID FF ¶51. Under "container yard" or "port-to-port" terms (commonly described as "merchant haulage"), the shipper or consignee is responsible for the inland movement from the port to the final inland destination. ID FF ¶¶27, 57. SEA simply could no longer rely on SM Line to handle the inland transport of its shipments without risking massive D&D charges.

Following the commencement of this action, SM Line conducted an internal risk assessment of SEA's refund claims for demurrage and detention charges. ID FF ¶174. At SM Line's Managing Director K.K. Choi's direction and with legal counsel's input, employee YeonHui Yi prepared a summary spreadsheet of potentially refundable charges, based on internal

emails and container data (“D&D Summary Report”). *Id.* Completed in April 2023 for litigation purposes, it was later inadvertently disclosed during discovery. *Id.* Although SM Line attempted to assert privilege and claw it back, the D&D Summary Report was properly deemed to be an admission against interest and is admissible under the applicable rules of evidence. ID at 55.

Separately, in response to SEA’s claims, SM Line fabricated a *post hoc* justification for its failure to perform, claiming that SEA’s nomination of preferred truckers under the purported shipping agreements somehow transformed SM Line into SEA’s agent and altered SM Line’s responsibilities under through bills of lading. SM Line RPF ¶21. This self-serving narrative is contradicted by the law, the provisions of the alleged agreements, and the evidentiary record.

D. SEA Files Claims Against SM Line for Violations of the Shipping Act.

On April 19, 2023, pursuant to 46 U.S.C. § 41301, SEA filed its Verified Complaint against SM Line. SEA alleged three counts in violation of the Shipping Act and OSRA, including allegations of: (1) SM Line’s unreasonable practices in violation of Section 41102(c); (2) SM Line’s issuance of invoices without sufficient information in violation of Section 41104(a)(15); and (3) SM Line’s unreasonable charges in violation of Section 41104(a)(14).

The unreasonable practices allegation challenges SM Line’s practices on four grounds: (1) SM Line charged D&D to a party not responsible for moving the cargo at issue in violation of the Incentive Principle; (2) SM Line required a consignee under a through bill of lading to first pay charges at interim terminals as a condition of completing its inland transportation obligations; (3) SM Line failed to maintain and abide by any meaningful dispute resolution practice; and (4) SM Line imposed and collected D&D charges as a calculated revenue strategy designed to maximize profit, even when such charges were unjustified or could reasonably have been avoided.

The improper invoicing allegation challenges SM Line’s issuance of approximately six invoices to SEA after the enactment of OSRA 2022. These invoices failed to provide all the

information mandated under OSRA 2022. ID at 56 n. 21 (the ID correctly found that while SEA contested seven invoices on these grounds, one invoice cited was repeated, so six invoices were actually contested). The unreasonable charges allegation challenges SM Line's repeated assessment of unreasonable charges for D&D without prior verification as to their validity, as well as SM Line's policy of passing D&D charges onto SEA for store-door moves.

E. The Initial Decision and Exceptions on Appeal.

The ID correctly found that SM Line's policies and practices were unreasonable and in violation of the Shipping Act. The ID found that SM Line's practice of assessing D&D on SEA container moves without regard to which party was at fault was unreasonable and violated the Shipping Act. The ID also correctly concluded that SM Line pursued a strategy of maximizing the collection of D&D charges to drive profit—conduct that stands in direct conflict with the Incentive Principle, which is intended to promote cargo fluidity rather than penalize it. ID at 52. Despite reaching the correct result on these central issues, the ID erred in four critical aspects:

First, the ID erred by imposing an unprecedented and excessive evidentiary burden, requiring a container-by-container analysis to establish both liability and damages. This approach contradicts the ID's own finding that SM Line systematically imposed unreasonable charges as part of a broader policy, rather than as isolated incidents—conduct that clearly constitutes an unreasonable act under the Shipping Act. Despite this, the ID incorrectly concluded that SEA failed to establish proximate cause for most of its claims, solely because it did not present damages on a container-by-container basis. This conclusion is inconsistent with established Commission precedent, which recognizes that the assessment and payment of D&D charges are sufficient to demonstrate proximate cause. Further, damages under the Shipping Act need only be shown with reasonable certainty—not absolute precision—and may be based on reasonable approximations supported by evidence and inference.

Here, SM Line’s violations were systemic, affecting thousands of containers, and did not require individualized proof. Moreover, SEA substantiated its damages through expert testimony and historical data, showing a direct link between SM Line’s unlawful practices and the losses incurred. The rejection of SEA’s damage calculations—based on expert analysis and invoice reviews—was therefore unfounded. By disregarding the lack of any legitimate basis for the charges, the ID undermined both the accuracy of the damages assessment and the fairness of the reparations awarded. Accordingly, the ID should have concluded that SEA was entitled to full reparations for all losses resulting from SM Line’s unlawful conduct.

Second, the ID improperly limited the scope of reparations to only those charges explicitly acknowledged in SM Line’s D&D Summary Report, despite clear evidence of broader misconduct. That report revealed that for nearly 90% of the charges reviewed, SM Line lacked substantial—or in most cases, any—evidence justifying the charges or identifying SEA as the responsible party. This critical fact underscores that SM Line not only imposed charges unreasonably, but did so without legitimate basis. The Commission has held that damages may be established through extrapolation and circumstantial evidence, so long as they meet the standard of reasonable certainty. Yet by focusing narrowly on a subset of charges identified in SM Line’s internal report, the ID created an artificial and unjustified distinction that undermines this well-established principle. In doing so, it disregarded the systemic nature of SM Line’s violations and the substantial evidence SEA presented. **The resulting award of just \$1.9 million—only 13% of SEA’s actual D&D charge losses**—grants SM Line an ill-begotten windfall. Given the breadth of the violations and the comprehensive documentation of harm, SEA is entitled to recover the full \$14,534,787 in direct damages, along with an additional \$2.6 million in consequential damages.

Third, the ID failed to place the burden on SM Line to proffer, if it can, alleged

justifications demonstrating the reasonableness of its charges. Instead, and even though the unlawful practice alleged was applied generally to SEA shipments, the ID, in effect, placed the burden on SEA to show if SM Line did or did not have other justifications for each charge.

The errors in the ID outlined above prejudiced the subsequent reparations analysis and resulted in the ID limiting SEA's reparations to a subset of charges in the D&D Summary Report concluding that SEA is not entitled to any further reparations because SEA did not provide a container-by-container analysis. The ID concluded that SEA would have to prove which charges were not otherwise justified to recover reparations. As a result, *no reparations* were awarded. That turns the applicable burden of production on its head. The ID should have found that the application of the unlawful practice proximately caused the charges incurred, except those charges for which SM Line provided reasonable justification.

Further, despite the undisputed record evidence, the Presiding Officer failed to evaluate reparations in accordance with Rule 251. 46 C.F.R. § 502.251. As a result, rather than determining if additional evidence review was warranted, the Presiding Officer limited the reparations award on the grounds of insufficient evidence. In the event the Commission determines that additional review of evidence is warranted, it should remand the proceeding pursuant to Rule 251. 46 C.F.R. § 502.251; *see also Perry's Crane Serv. v. Port of Houston*, Dkt. No. 75-51, 19 F.M.C. 548, 551 (FMC Feb. 25, 1977) ("We agree with the Presiding Officer that Complainant is entitled to some degree of monetary restitution for losses occasioned by the unlawful practices of Houston. The extent of reparation cannot be determined on this record. A remand on that issue is accordingly in order. This procedure [referring to Rule 251] has been followed by the Commission in instances like the present when the record is full and complete on the issue of violation but is inadequate on the issue of damages").

Fourth, the ID erred in finding no spoliation by SM Line, despite SM Line’s knowing failure to implement a litigation hold or prevent the destruction of relevant documents. This holding ignores clear admissions by SM Line that it never instituted a litigation hold during the entire duration of the proceeding and that relevant information was lost as a result. The ID also wrongly concluded that the duty to preserve arose only upon the Complaint’s filing on April 19, 2023, dismissing SEA’s position that it was triggered by the September 23, 2022 Demand Letter based on a single sentence deemed “equivocal.” The Commission should recognize the resulting prejudice to SEA and impose appropriate sanctions.

III. THE STANDARD OF REVIEW APPLICABLE TO THESE EXCEPTIONS

An initial decision must provide a reasoned decision “on all the material issues of fact, law, or discretion presented on the record.” 5 U.S.C. § 557(c)(3)(A); 46 C.F.R. § 502.223 (an initial decision must “include a statement of findings and conclusions, as well as the reasons or basis therefor, upon all the material issues presented on the record”). When the Commission reviews exceptions to an initial decision, the Commission has all the powers which it would have in making the initial decision. 46 C.F.R. § 502.227(a)(6). The Commission review of an initial decision is *de novo*. *Id.*; see also *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 12-02, 2015 WL 9426189, at *110-11 (FMC Dec. 18, 2015). Thus, while the Commission may adopt the findings of fact, application of law, and conclusions set forth in initial decisions, it may do so only where the Commission determined that, in light of the exceptions, those findings of fact, application of law, and conclusions “are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, Dkt. No. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014).

IV. THE LAW APPLICABLE TO SEA’S CLAIMS

A. The Burden of Proof

A complainant asserting violations of the Shipping Act has the ultimate burden of proving its claims by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2014 WL 9966245, *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must establish through evidence that their allegations are more probable than not. *Crocus Inv., LLC v. Marine Transp. Logistics*, Dkt. No. 15-04, 2021 WL 3732849, at *3 (FMC Aug. 18, 2021).

B. Section 41102(c)

Section 41102(c) of the Shipping Act (previously Section 10(d)(1) of the 1984 Act, and Section 17 of the 1916 Act) provides that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

The Commission’s Interpretive Rule on unreasonable demurrage and detention practices provides additional guidance for determinations of unreasonable practices and regulations under Section 41102(c) and 46 C.F.R. § 545.5 relating to demurrage and detention for containerized cargo. 46 C.F.R. § 545.5 (the “D&D Interpretive Rule”).⁵ The D&D Interpretive Rule establishes the Commission’s “Incentive Principle” that states: “In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1).

⁵ Throughout these exceptions, references to the “Interpretive Rulemaking” are a reference to 85 Fed. Reg. 29638 (May 18, 2020), while citations and references to the “D&D Interpretive Rule” are citations to the codification of the final rule at 46 C.F.R. § 545.5.

In the Final Rulemaking promulgating the D&D Interpretive Rule, the Commission explained that “the rule’s primary focus is situations where demurrage and detention do not work because cargo cannot move.” Final Interpretive Rule on Demurrage and Detention, Docket No. 19-05, 85 Fed. Reg. 29638, 29658 (May 18, 2020) (“Interpretive Rulemaking”); *see also id.* at 29658 (“when shippers cannot retrieve cargo from a terminal, it is hard to see how demurrage or detention serve their primary incentive purpose.”); *id.* at 29654 (“if a free time practice is not tailored so as to provide a shipper a reasonable opportunity to retrieve its cargo, it is not likely to be reasonable”); *id.* at 29658 (charging “when a trucker arrives at a marine terminal to retrieve a container but cannot do so because it is in a closed area or the port is shutdown, might not be reasonable”); *id.* at 29655 (charging detention “when empty containers cannot be returned” is likely to be found unreasonable because “no amount of detention can incentivize” return of a container if there is no available return location).

These examples address when a “shipper” or a “trucker” cannot retrieve, move, or return containers because, in the context of a “merchant haulage arrangement, also known as CY or port-to-port transportation, the shipper makes the trucking arrangements.” *Id.* at 29664. In contrast, the Commission explained that “[i]n a carrier haulage arrangement, also referred to as ‘store door’ delivery or a ‘door move’ or ‘door-to-door’ transportation, the ocean carrier is responsible for arranging transport of a container from the terminal to another location, such as a consignee warehouse. In other words, the ocean carrier provides drayage trucking.” *Id.* Because shippers and/or consignees in store-door moves are not responsible for retrieving, moving or returning containers, it is even harder to see how charging a consignee demurrage or detention can possibly serve as an incentive to move a container that the ocean carrier is responsible to move. Indeed, the Commission explained in the Final Interpretive Rulemaking that it had specific concerns about

such store-door charges, “especially charging shippers demurrage on carrier haulage moves, under Section 41102(c) and will closely scrutinize them in an appropriate case.” *Id.* at 29665.

C. Unreasonable Practices Element and the Burden of Proof

The Commission evaluates whether an alleged practice is unreasonable under Section 41102(c) (specifically, the fourth “unreasonable practice” element of the cause of action codified in the regulation at 46 C.F.R. § 545.4(d)) following the well-established burden shifting framework: the complainant has an initial burden of persuasion to make a *prima facie* showing that the alleged practice is unreasonable. If that burden is met, the burden of production shifts to the respondent to refute that showing, if it can. *See New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal District*, Dkt. No. 83-2, 1985 WL 148970, at *20-22 (ALJ Dec. 30, 1985) (after establishing a *prima facie* unreasonable practice under Section 17, “the respondent has the burden to and must actually justify the exemptions, however reasonable one might otherwise assume them to be. Unfortunately, on the record made here, we cannot hold that the burden has been met”); *Petchem, Inc. v. Canaveral Port Auth.*, Dkt. No. 84-28, 1986 WL 170038, at *13 (FMC March 28, 1986) (finding an exclusive arrangement *prima facie* unreasonable under Section 10(d)(1) of the 1984 Act and Section 17 of the 1916 Act “obligates Respondents to justify the arrangement”); *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, at *38-39 (FMC Oct. 10, 1997) (finding first that Ceres met its *prima facie* burden of proving MPA’s practice was unreasonable, and finding that MPA failed to show that the practice was justified); *Exclusive Tug Arrangements in Port Canaveral, Fla.*, Dkt. No. 02-03, 29 S.R.R. 1199, 1222, 2003 WL 1017732, at *31 (ALJ Mar. 4, 2003) (“BOE has the burden of persuading the Commission that CPA’s practice of perpetuating [the] exclusive tug franchise was unreasonable. If BOE succeeds in that regard, the burden of proving justification for the exclusive system shifts to CPA”).

In *TCW Order on Remand*, the Commission reasserted the application of the burden shifting framework to Section 41102(c) unreasonable D&D practices. 2025 WL 516256, at *7 (“[W]here a party having the burden of proceeding has come forward with a *prima facie* and substantial case, he will prevail unless his evidence is discredited or rebutted”) (citations omitted). The Commission again affirmed the initial decision’s finding that the practice of charging detention when equipment could not be returned because the terminal was closed established a *prima facie* violation, holding that “both broadly and specifically, the Commission finds that Evergreen’s charges over scheduled Port Closures on May 23-25, 2020 did not incentivize freight fluidity. Thus, the detention charges are likely unreasonable absent ‘extenuating circumstances’ or other ‘factors, arguments, and evidence that can establish reasonableness.’” *Id.* at *7 (citations omitted). The Commission then analyzed “several ‘extenuating circumstances’ and justifications” advanced by respondent, *id.* at *8-11, ultimately concluding that “[n]one of Respondent’s justifications, either individually or collectively, are sufficient to establish that Respondent’s charges were reasonable.” *Id.* at *11.

D. Proximate Cause Element and Burden of Proof for Reparations

To prove a claim for reparations, a party must show that it sustained actual loss or injury and that the unlawful practice was the proximate cause of that loss or injury, which complainants must show to “a reasonable degree of certainty.” *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, Dkt. No. 88-15, 1990 WL 427466, at *23 (Oct. 19, 1990)). Reasonable certainty “does not require absolute precision,” it requires “evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital*, 2022 WL 2209421, at *3.

The Commission’s proximate cause element in effect has two component: (1) were the damages claimed proximately caused *by the unlawful practice* in question? *See Tractors & Farm*

Equip. Ltd. v. Cosmos Shipping Co., Dkt. No. 81-57, 1992 FMC LEXIS 86, at *39 (ALJ Nov. 23, 1992), *admin. final*, Dec. 31, 1992 (discussing Commission precedent requiring “a showing that the damages claimed were reasonably foreseeable or proximately caused by the violation proven” and therefore not awarding damages “if they were remote and not essentially related to the type of violation proven”); *William R. Adair v. Penn-Nordic Lines, Inc.*, Dkt. No. 1695(F), 1991 WL 383091, at *23 (ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages”); and (2) if so, proving the amount or calculation of the damages. *See Tractors & Farm Equip.*, 1992 FMC LEXIS 86, at * 38 (“if the fact of injury is shown with reasonable certainty, the amount need not be shown with mathematical precision, and the Commission will rely on reasonable estimations based on relevant data, as do the courts, so that the wrongdoer does not benefit from its misconduct”); *see also, OJ Commerce, LLC v. Hamburg Sud*, Dkt. No. 21-11, 2023 WL 3969857, at *40 (ALJ Jun. 7, 2023), *aff’d* 2024 WL 4034610 (FMC Aug. 27, 2024) (Initial Decision quoting *Tractors & Farm Equip.*: “the fact of injury must be shown with reasonable certainty [and] that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences”).

When the unlawful practice results D&D charges, evidence that the charges were assessed and paid is sufficient to establish proximate cause. *See Hapag-Lloyd, A.G. & Hapag Lloyd (Am.) -- Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09, 2022 WL 1239377, at *34 (ALJ Apr. 22, 2022) (“detention and demurrage invoices are outstanding and the collection of these fees would impose financial costs on shippers and trucking companies. Accordingly, th[e proximate cause] element is met”); *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.*, Dkt. No. 1987(I), 2023 WL 11645622, at *13 (ALJ July 17, 2023) (Claimant “demonstrates that it incurred

damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents' conduct").

V. EXCEPTIONS AND ARGUMENT

A. The ID Failed to Properly Quantify the Damages Owed to SEA

The ID correctly found that SM Line violated the Shipping Act through unreasonable D&D practices that were employed not to incentivize cargo movement but as a tool to maximize profits. ID at 52. The ID further correctly concluded that SM Line's practice of automatically assessing all D&D charges on SEA without first determining if SEA was responsible for the underlying delays (which the ID referred to as "regardless of which party was at fault") was unreasonable. ID at 52-53. But the ID erred significantly in its damages assessment, awarding SEA only **\$1,913,355.80** instead of the **\$14,534,787.00**, in direct damages which SEA paid and over **\$2.6 million** in additional damages SEA claimed.

1. The ID's Proximate Cause Analysis Was Flawed and Contradicts Commission Precedent

The ID erred in holding that "in the absence of a container-by-container analysis specifying the cause of each charge in dispute, a complainant generally fails to meet its burden to establish that the damages sought proximately resulted from the unreasonable practices alleged." ID at 54. The ID's mandate of a container-by-container analysis to establish both liability and the extent of damages (ID at 60), misapplies the Commission's proximate cause precedent that fundamentally looks to whether the claimed losses were proximately caused *by the unlawful practice* in question.

The principal unlawful practice at issue here—automatically charging all D&D on SEA "regardless of which party was at fault"—was systematically applied by SM Line to shift responsibility to SEA for all D&D charges on SEA cargo based on SM Line's interpretation of its CNT tariff rule. ID at 49 ("SM Line relies on its service contract and tariff provision stating that

customers are responsible for charges for CNT shipments under store door terms.”); ID at 53 (“the record shows that SM Line automatically charged SEA for demurrage and detention on all store door moves”). Thus, the reason that SEA was assessed all D&D charges in the first place was directly the result of the unlawful practice at issue.

The facts in this case are clearly more than sufficient to show “that the violation of law was the proximate cause of the damages” claimed. *Adair*, 1991 WL 383091, at *23. The D&D charges automatically assessed on SEA on all store-door moves were neither remote nor unrelated to the “type of violation proven.” *Tractors & Farm Equip.*, 1992 FMC LEXIS 86, at *39 (summarizing Commission precedent requiring “a showing that the damages claimed were reasonably foreseeable or proximately caused by the violation proven,” but not “awarding damages if they were “remote and not essentially related to the type of violation proven”). SM Line admits and the ID found that “[a]lthough SM Line concedes that ocean common carriers are responsible for demurrage and detention charges in what it refers to as ‘pure’ store door moves, it contends that this general rule does not apply to shipments involving CNTs” in reliance on its interpretation of service contract and tariffs provisions (ID at 49), and that “the record shows that SM Line automatically charged SEA for demurrage and detention on all store door moves in accordance with its applicable service contract and tariff” (ID at 53). SEA established to more than “a reasonable degree of certainty” that the unlawful practice was the proximate cause of SM Line’s assessment of the D&D charges. *MAVL*, 2022 WL 2209421, at *3 (quoting *Cal. Shipping Line*, 1990 WL 427466, at *23).

Having established that the unlawful practice at issue was the proximate cause of the charges paid by SEA, the proof of actual damages for the purpose of the proximate cause element is generally satisfied by proof that the charges were assessed and paid. *See Hapag-Lloyd*, 2022

WL 1239377, at *34 (“detention and demurrage invoices are outstanding and the collection of these fees would impose financial costs on shippers and trucking companies. Accordingly, th[e proximate cause] element is met”); *A Customs Brokerage*, 2023 WL 11645622, at *13.

The ID erroneously concluded that SEA failed to establish proximate cause for all but a fraction of its claims, except for those where SEA established and the ID found a *second* unreasonable practice, such as charging D&D for chassis shortages and port congestion. ID at 58 (“the undersigned finds that SM Line’s assessment of detention and demurrage charges against a party not at fault constitutes an unreasonable practice, but in the absence of a container-by-container analysis does not constitute a violation of 41102(c) because the proximate cause element has not been satisfied with the limited exception of the chassis and port congestion charges”). While these are independent bases for unreasonable practice liability and proximate cause, finding a second unreasonable practice violation for each charge is not required to establish that SM Line’s charges from the unreasonable practice of charging all D&D without first evaluating fault proximately caused SEA’s losses. It would be illogical to conclude that SM Line’s assessment of charges based on the unlawful practice was unreasonable for some, but not all, resulting charges. After finding that SM Line employed a practice that violated the Shipping Act (which the Presiding Officer did find), the ID should have relied on the undisputed record evidence that SM Line assessed D&D charges to SEA and that SEA paid the same to satisfy the proximate cause inquiry.

Simply put, the proximate loss caused by SM Line’s unreasonable pattern and practice of imposing D&D charges was SEA’s payment of such unreasonable charges.

2. Container-by-Container Analysis Is Not Required Where the Violation Is a Systemic Practice Not Dependent on Individual Shipment Facts

The ID incorrectly imposed an unprecedented evidentiary burden in this case by requiring that SEA show a container-by-container analysis “that includes the factual basis for which each

demurrage and detention charge was assessed.” ID at 54. But with respect to the principal unlawful practice at issue, the factual basis for which each D&D charge was assessed was that SM Line assessed **all** of the D&D charges on SEA **automatically**, without first determining whether there was any legitimate basis under the Incentive Principle to assess them. Thus, while a container-by-container analysis may be appropriate in other cases where the unreasonableness of the practice at issue depends on the facts of each shipment (*e.g.*, whether charging detention on a day when a terminal is closed depends on evidence that the terminal was closed for a given charge), a container-by-container analysis is not necessary or appropriate here because SM Line **automatically** applied the **same** unreasonable practice on **all** SEA store-door shipments without first evaluating fault on a container-by-container basis.

The Commission’s prevailing authorities **do not** mandate a container-by-container analysis in this circumstance. *See, e.g., DSW Int’l v. Commonwealth Shipping, Inc.*, Dkt. No. 1898(F), 2011 WL 7144019, at *18 (ALJ Mar. 29, 2011) (“the fact of injury must be shown with reasonable certainty” but “the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences”). The Commission has consistently recognized that damages require only “reasonable certainty,” not absolute precision. *MAVL*, 2022 WL 2209421, at *3 (quoting *Cal. Shipping Line*, 1990 WL 427466, at *23) (“Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty”); *see also Tractors & Farm Equip.*, 1992 FMC LEXIS 86, at *39 (the reasonable certainty standard is met by “reasonable approximation supported by evidence and by reasonable inferences”).

SEA is mindful that a recent line of initial decisions issued by the Administrative Law Judges of the FMC have trended toward requiring container-by-container evidence. *See Hapag-*

Lloyd, 2022 WL 1239377, at *1; *Simple Forwarding Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F) (ALJ Feb. 6, 2025) (notice not to review Mar. 11, 2025); *TZ SSE Buyer, LLC v. Yang Ming Marine Transp. Corp.*, Dkt. No., 24-10, 2025 WL 1083815, at *19- 23 (ALJ Mar. 24, 2025); *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-01, 2025 WL 1662697 (ALJ Apr. 28, 2025) (notice not to review May 29, 2025). All of these cases moved on merchant haulage/“CY” terms, where inland cargo carriage was the cargo interest’s responsibility.

By contrast here, requiring a container-by-container analysis fundamentally misunderstands the nature of SM Line’s violation. The ID correctly found that SM Line’s overall practice of assessing all D&D charges based on a wrongful presumption – *i.e.*, charging without first evaluating purported “fault,” was unreasonable. SM Line’s unreasonable practice was applied to thousands of containers and invoices; not isolated or unique incidents requiring individualized proof. Under these circumstances, the container-by-container analysis is inappropriate. SEA does not have the burden to show, or to rule out, a “second” unreasonable practice violation in order to establish that the unlawful practice at issue was the proximate cause of SEA’s loss. The question for proximate cause is whether the violation proximately caused the loss. Based on the findings that SM Line charged D&D on the inland moves because it presumed the CNT utilization allowed SM Line to charge, the proximate cause is the charges paid. The other violations found (*i.e.*, charging for congestion and chassis delays), are independent violations for which proximate cause was also established.

Furthermore, a container-by-container analysis of 18,186 charges impacting more than 7,000 containers would be prohibitively burdensome and disproportionate to this proceeding. Such a requirement would insulate carriers from liability by imposing a nigh impossible evidentiary burden on consignees who do not possess the information needed for a container-by-

container analysis of *other reasons* that a carrier might have had for each charge. When a carrier systematically fails to show a legitimate reason for assessing D&D, or fault, before imposing charges it should not be rewarded by imposing on a consignee a mountainous evidentiary burden that allows the carrier to retain the ill-gotten benefits from its unreasonable practice.

The Commission's recent pronouncements on class actions in the FMC is instructive here as it undermines any mandate for a container-by-container analysis. On January 2, 2025, the Commission issued a policy statement confirming that the Commission is an appropriate forum for filing class actions. *See* Statement of the Commission on Class Action Complaints, Dkt. No. 24-29 (Jan. 2, 2025). In support of this recent statement, the Commission cites to the Administrative Conference of the United States, which found that a benefit of aggregating claims in a class action includes "securing the kind of expert assistance high volume adjudication attracts." *Id.* at 2. Requiring any class representative or class to prove liability on a shipment-by-shipment basis, rather than establishing liability by showing the respondent's conduct was unreasonable in relation to a class of cargo interests, would contravene the Commission's recent policy statement which by necessity permits class damages to be proved based on common questions of law and fact without requiring separate individualized proof of damages.

3. SEA Established Damages to a Reasonable Degree of Certainty

SEA provided a highly detailed recitation of its actual direct damages in connection with the SEA containers, including bill of lading numbers, container numbers, dates, amounts paid, locations, and charge types, CX_005012-CX_005435, Smith Damages Expert Report, Ex. 1, that far exceeds the "reasonable approximation" standard required to support its request for reparations.

The legal standard for damages under the Shipping Act does not require absolute precision but rather a "reasonable approximation supported by evidence and by reasonable inferences." *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, Dkt. No. 16-16, 2021 WL 4554718, at *28

(FMC Sept. 29, 2021). Once liability is established, the wrongdoer should “bear the risk of the uncertainty which his own wrong has created.” *Bigelow v. R.K.O. Pictures, Inc.*, 327 U.S. 251, 265 (1946); *Cal. Shipping Line*, 1990 WL 427466, at *23 (citing *Bigelow*).

The Shipping Act provides that “the Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b). The complainant bears the burden of proving that it is entitled to reparations. *Yakov Kobel v. Hapag-Lloyd A.G.*, FMC Dkt. No. 10-06, 2014 WL 5316331, at *13 (FMC July 30, 2014). A reparation claim is to be calculated based on the complainant’s actual damages. *Id.* at *14. Actual damages mean “compensation for the actual loss or injuries sustained by reason of the wrongdoing,” which loss or injuries a complainant must show to a reasonable degree of certainty. *Cal. Shipping Line*, 1990 WL 427466, at *23.

The “goal of awarding damages is to make the injured party whole,” hence, the “proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.” *Yakov Kobel*, 2014 WL 5316331, at *14.

Here, SEA produced detailed and reliable business records evidencing **\$14,534,787** in actual D&D charges paid supported by invoices and documentation demonstrating the amounts of demurrage, detention, and accessorial charges incurred because of SM Line’s unreasonable practices. SEA’s damages expert, Mr. Gregory Smith, a CPA with over thirty years of accounting, consulting, and business experience, prepared a 424-page exhibit annexed to his expert report identifying every charge for which SEA sought recovery, with bill of lading numbers, container numbers, dates, amounts paid, locations, and charge types totaling at least **\$14,534,787**. See CX_004448, CX_005012-CX_005435, Smith Damages Expert Report, ¶8, Ex. 1.

SEA further specified these D&D charges by charge category (*e.g.*, demurrage (\$7.2 million), rail storage (\$2.5 million), equipment detention (\$1.3 million) and rehandling (\$1.1 million). Smith Damages Expert Report, ¶41, Ex. 1.1 and Ex. 2.

SM Line unreasonably charged SEA for rail storage totaling \$2,476,788 on containers that remained at rail facilities past their free days. Smith Damages Expert Report, Ex. 2. SM Line arranged and controlled the rail transportation (ID FF ¶95, ¶98) and SEA was forced to pay these charges directly to their subcontracted railroads. ID FF ¶95, ¶101. SM Line was solely responsible for chassis supply at the rail terminals, which posed a unique problem. Unlike marine terminals, containers were unloaded directly from rail cars to chassis. When chassis were unavailable, containers were stacked at the rail terminal and not available for pickup. ID FF ¶99. Despite congestion or chassis shortages, SM Line frequently rejected requests to clear rail storage and extend the last free day, admitting they **“can’t absorb any rail storage.”** ID FF ¶105 (citing SM Line employee deposition testimony) (emphasis added).

SM Line unreasonably charged SEA for “other handling charges” totaling \$3,601,937 for additional inland trucking costs to mitigate demurrage imposed by SM Line. These charges included chassis usage fees, chassis splits, yard storage, and more (Smith Damages Expert Report, Ex. 2). This category included:

- \$1.7 million paid to Samsung SDS or Samsung SDS America for pass-through reimbursement claims (ID FF ¶184);
- \$104,212 in pre-pull fees paid directly to truckers (ID FF ¶185);
- Approximately \$1 million for rehandling issues (ID FF ¶186);
- \$573,435 in chassis usage fees (ID FF ¶187); and
- \$16,400 in other chassis-related charges; chassis flips and repositioning (ID FF ¶188)

These other handling charges were directly caused by SM Line’s unreasonable practices. Chassis charges arose when SM Line failed its inland duties, leading to prolonged storage on chassis, separate chassis retrievals, or extra moves for mounting containers. Smith Damages Expert Report

¶¶34 (g),(k),(m). Yard storage fees were incurred to reduce terminal demurrage. ID at 60; Smith Damages Expert Report ¶34(e). Similarly, SEA also used pre-pulls to avoid demurrage charges when chassis were unavailable. ID FF ¶¶109,185.

In addition, SEA produced expert testimony and supporting exhibits that SEA suffered about **\$2.6 million** in additional costs and lost profits attributable to SM Line.⁶ CX_004448-CX_004449, Smith Damages Expert Report ¶9. Mr. Smith opined that “the charge data produced by SEA provides a sound basis from which to compute direct damages in this matter.”⁷ CX_004466, Smith Damages Expert Report, ¶38; CX_004161-CX_004162, Smith (SEA) Dep. Tr. 39:22-40:4.

Thus, the evidence that SEA produced for its actual direct damages far exceeds the “reasonable approximation” standard required to support its request for reparations. Given SM Line’s systemic and continuing violations of the Shipping Act, SEA provided more than sufficient evidence to satisfy the reasonable certainty standard for damages.

4. The ID Failed to Draw All Reasonable Inferences from SM Line’s Conduct

Even if the Presiding Officer found SEA’s proof lacking, SEA was entitled to reasonable inferences from SM Line’s own internal D&D Summary Report. The ID correctly relied on the

⁶ Mr. Smith identified additional damages as “wages paid to employees hired specifically to process inbound containers and inland transportation charges; temporary staff hired for the same purpose; lease expenses for off-dock facilities utilized to handle overflow containers; additional handling and trucking charges incurred by SEA; and lost revenue due to products not delivered and available for sale.” CX_004472-CX_004475, Smith Damages Expert Report ¶¶54-55, 58; CX_005478, Smith Report, Ex. 11. While he did not perform detailed calculations of all of these additional damages, Mr. Smith did opine to a reasonable degree of economic certainty that (a) the damages were incurred, and (b) they could be reasonably estimated to be \$2.6 million. CX_004448-CX_004449, Smith Damages Expert Report ¶9.

⁷ The ID erred in concluding that Mr. Smith’s damage calculation is based on the assumption that SM Line was responsible for all inland transportation charges during the period at issue without competent evidence linking the additional costs and lost profits to the unreasonable practices found to have violated the Shipping Act. ID at 59-60. Mr. Smith, as the damages expert, did not offer opinion on liability, instead relying on the opinions of SEA’s liability expert, Mr. McCown.

D&D Summary Report as an admission by SM Line of its responsibility for an overwhelming portion of the charges unreasonably assessed to SEA. ID at 55. Yet the ID inexplicably limited its award of reparations to SEA to **\$1,913,355.80** premised only on those charges that SM Line labeled as due to “Port Congestion” (63 charges; \$644,973) and “Chassis Shortage” (52 charges; \$1,268,383). At a minimum, SEA is entitled to the reasonable inferences from the D&D Summary Report awarding reparations for the charges where SM Line did not find any evidence or failed to establish a legitimate reason to attribute fault to SEA (1,129 charges totaling **\$4,595,154**). Moreover, because SM Line did not even attempt to consider 55% of the universe of charges in dispute, the ID should have reasonably inferred fault to those charges SEA paid in a similar ratio as SM Line’s selected set of 45% of the charges, for example by extrapolating SM Line’s sample to the total in dispute. As set forth below, after deducting for an extrapolation of charges with evidence of SEA fault, an extrapolation should have resulted in an award of \$10,141,223 in this category (for a total of \$14,363,882 in reparations). Finally, SEA should have been awarded the additional damages of over **\$2.6 million** for other costs and lost profits as a result of SM Line’s unreasonable practices with respect to shipments of its cargo. In total, the Commission should award SEA **\$16,961,992**. *See discussion, infra*, at 50 n. 10 (showing calculation).

When a carrier fails to offer evidence that its practice of charging all D&D without first having a legitimate reason was otherwise justified (either because it had no evidence of a justification or it did not retain in)—like here—reparations should be awarded for charges paid. But when there is *some* evidence proffered inferences may be drawn from certain facts, and circumstantial evidence may be sufficient if the fact finder does not rely on speculation. *Id.* at 798-99; *see also Waterman S.S. Corp v. Gen. Foundries, Inc.*, Dkt. No. 93-15, 1993 WL 13975538, at *13 (ALJ 1993) adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

The Commission has also found that a presiding officer “may draw reasonable inferences that a person or entity acted similarly in handling another shipment when the evidence is not available on that element for that shipment.” *Worldwide Relocations Inc.—Possible Violations of the Shipping Act*, Dkt. No. 06-01, 2012 WL 11914713, at *6-7, n. 1 (FMC Mar. 15, 2012); *see also id.* at *7 n. 1 (citing *Loughan v. Firestone Tire & Rubber Co.*, 749 F.2d 1519, 1524 (11th Cir. 1985) (“Although a precise formula cannot be proposed for determining when the behavior may become so consistent as to rise to the level of habit, adequacy of sampling and uniformity of response are controlling considerations”) (citing *Williams v. Security Nat’l Bank of Sioux City*, 358 F. Supp. 2d 782, 811-15 (N. D. Iowa 2005) (finding routine behavior when person acted consistently on eight occasions, and extrapolating that behavior to ten other occasions where proof was missing)).

Such reasonable inferences are warranted here. SM Line’s own expert acknowledged, and their internal review confirmed, that SM Line did not have evidence to substantiate most of its invoiced charges, either for lack of records when the charge was originally issued or for lack of records as a result of SM Line’s wrongful destruction of evidence. *See CX_003632*, Clair (SM Line) II Dep. Tr. 260:7:17 (“A container-by-container analysis could not be done on this because we don’t have the analysis and all communications that tie each container to know exactly why it was demurrage, why it was detention, when it went in, why it stayed in, and all of the communications and all the reasons that went with it”). This is a candid and startling admission ignored by the Presiding Officer when ruling in SM Line’s favor.

SEA’s conclusion is grounded in reviewing SM Line’s 2022 D&D Summary Report. SM Line created a then-privileged report revealing SM Line’s own allocation of responsibilities for D&D charges in dispute. This D&D Summary Report is incomplete and analyzed only half of the

D&D charges at issue, leaving out a vast majority of those D&D paid to third parties in connection with SEA cargo. The SM Line D&D Summary Report analyzed a subset of the charges at issue, totaling \$6.5 million out of the \$14.5 million (about 45%) of direct damages at issue in this lawsuit, and assessed whether the charges were caused by SEA’s conduct.

For the Commission convenience, below is an excerpt from SM Line’s internal D&D Summary Report with the various categories highlighted. We explain the chart components below.

DMIF or DTIC	Evidence Found?	Category	Count of Type	USD Collected
DMIF	Y		591	4,469,649.80
		No Reply	372	1,820,384
		Port Congestion	63	644,973
		Chassis Shortage	52	1,268,383
		Request to cancel WO under GPON	22	42,010
		No Explanation from Samsung	16	520,660
		Warehouse Issue	13	4,405
		SS Dispatched Another Trucker	10	3,675
		CY - DEM reminder	9	48,145
		SML cleared \$1035	7	3,770
		CY - Diversion	7	13,005
		Diversion	6	69,725
		Samsung Operation Issue	5	3,310
		Peel Off	5	18,880
		CNT arranged late	2	1,225
		Vacus Fee	1	6,855
		Unknown	1	245
	N		266	916,840
		N	266	916,840
DMIF Totals			857	5,386,490
DTIC	Y		189	615,010
		Return Location Available	180	608,170
		No Dispute	8	5,320
		Trucker not paid by SS	1	1,520
	N		222	584,450
		N	222	584,450
DTIC Total			411	1,199,460
Grand Total			1268	6,585,949

The green highlighting shows the categories where SEA was properly awarded **\$1,913,355.80** in reparations for 115 charges where SM Line found evidence of “Port Congestion” (63 charges; \$644,973) and “Chassis Shortage” (52 charges; \$1,268,383). The red highlighting shows the categories where, for purposes of this Exception, SEA does not dispute the ID’s determination not to include as part of its award the 24 charges totaling **\$77,440** that SM Line attributed to “warehouse issues” (13 charges; \$4,405), “diversion” (6 charges; \$69,725) and “Samsung operation issue” (5 charges \$3,310). The yellow highlighting shows the categories

where the ID failed to draw reasonable inferences to award SEA for the 1,129 charges totaling an additional **\$4,595,154** where SM Line did not find evidence or failed to attribute D&D charges.

There are four conclusions to be drawn from this SM Line admission-against-interest chart.

First, SEA should have been awarded **\$1,501,290** in reparations for the **488** demurrage and detention charges that SM Line classified as “N” for “No Evidence” found (266 demurrage charges (SM Line categorized as “DMIF”) totaling \$916,840 and 222 detention charges (SM Line categorized as “DTIC”) totaling \$584,450). SM Line identified purported evidence related to only 62% of the charges in its report; but 38% of the charges had no associated evidence. ID FF ¶176. SM Line came up with **no evidence** that it had any reason to charge SEA, other than doing so pursuant to the unlawful practice of automatically charging SEA on store-door moves.

Second, SEA should have been awarded **\$3,093,894** in reparations for the **641** demurrage and detention charges in the multiple categories highlighted in yellow where SM Line did not establish a legitimate reason to charge SEA, including:

- A. SEA should have been awarded **\$2,341,044** for the **388** demurrage charges that SM Line characterized as “No Reply” (372 charges \$1,820,384) and “No explanation from Samsung” (16 charges \$520,660). The associated remarks for almost all of these items repeat the phrase “TRK notified daily/no reply” and in a handful of instances that “Samsung did not provide a reason.” Neither of these remarks explain why SM Line did not move the cargo at issue within free time. If there were actual reasons, SM Line should have known them before deciding to charge SEA—but in any event SM Line should have done more than email its contracted truckers or look to SEA for a reason why SM Line failed to move the cargo. CX_004475, Smith Damages Expert Report ¶59; CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_002852, Goedinghaus Dep. Tr. 78:3-19; CX_001369, Askins Dep. Tr. 74:15-74:19. It is reasonable to infer that SM Line unreasonably charged SEA for these charges without determining fault.
- B. SEA should have been awarded **\$615,010** for the **189** detention charges that SM Line characterized as “Return Location Available” (180 charges \$608,170), “No Dispute” (8 charges \$5,320), or “Trucker not paid by SS” (1 charge \$1,520). Even assuming that return locations may have been available, that does not provide a reason that SM Line’s trucker did not return the containers within free time. It is reasonable to infer that SM Line found no evidence of fault to support assessing

SEA for these charges.

- C. SEA should have been awarded **\$137,840** for the **64** demurrage charges that SM Line characterized as “Request to cancel WO under GPOM” (22 charges \$42,010), “SS Dispatched Another Trucker” (10 charges \$3,675), “CY-DEM reminder” (9 charges \$48,145), “SML Cleared \$1035” (7 charges \$3,770), “CY-Diverson” (7 charges \$13,005), “Peel Off” (5 charges \$18,880), “CNT arranged late” (2 charges \$1,225), “Vacus Fee” (1 charge \$6,885) and “Unknown” (1 charge \$245). SM Line’s cryptic remarks do not indicate any reasonable basis for SM Line charging SEA. It is reasonable to infer that SM Line found no evidence of fault to support assessing SEA for these charges.

Third, to reach a proper reparations award once it placed **sole** reliance on the SM Line internal D&D Summary report for damages considerations, the Presiding Officer should have extrapolated SM Line’s admissions from the limited sample of 1,268 charges that SM Line reviewed in the D&D Summary Report **to the entire universe** of 18,186 charges that SEA actually paid in order to calculate an extrapolated amount of **\$14,352,882**.

To aid the Commission’s review of the D&D Summary Report, SEA created the table below and inserted a new last column labeled “Extrapolated to Total SEA Charges” which includes a separate calculation extrapolating the total charges for each of SM Line’s categories.⁸

⁸ SEA calculated the extrapolated amount by first dividing the amounts in the “USD Calculated” column by the total charges reviewed in the D&D Summary Report (\$6,585,949) to determine a ratio. This ratio was then used to allocate the total charges claimed by SEA in this proceeding (.4531 or 45.31%) to each of SM Line’s categories.

DMIF or DTIC	Evidence Found?	Category	Count of Type	USD Collected	Extrapolated to Total SEA Charges
DMIF	Y		591	4,469,649.80	9,864,243
		No Reply	372	1,820,384	4,017,476
		Port Congestion	63	644,972.90	1,423,416
		Chassis Shortage	52	1,268,382.90	2,799,243
		Request to cancel WO under GPON	22	42,010	92,713
		No Explanation from Samsung	16	520,660	1,149,065
		Warehouse Issue	13	4,405	9,721
		SS Dispatched Another Trucker	10	3,675	8,110
		CY - DEM reminder	9	48,145	106,253
		SML cleared \$1035	7	3,770	8,320
		CY - Diversion	7	13,005	28,701
		Diversion	6	69,725	153,879
		Samsung Operation Issue	5	3,310	7,305
		Peel Off	5	18,880	41,667
		CNT arranged late	2	1,225	2,704
		Vacus Fee	1	6,855	15,129
		Unknown	1	245	541
	N		266	916,840	2,023,410
		N	266	916,840	2,023,410
DMIF Totals			857	5,386,489.80	11,887,653
DTIC	Y		189	615,010	1,357,289
		Return Location Available	180	608,170	1,342,194
		No Dispute	8	5,320	11,741
		Trucker not paid by SS	1	1,520	3,354
	N		222	584,450	1,289,845
		N	222	584,450	1,289,845
DTIC Total			411	1,199,460	2,647,134
Grand Total			1268	6,585,949	14,534,787

As incriminating as it was, SM Line's D&D Summary Report **only considered a faction (45%) of the total charges in dispute** (\$6,585,949 out of total \$14,534,787). It is reasonable to infer from SM Line's admission that because virtually all charges considered in its internal report were failed to allocate another reasonable justification to charge SEA, it is reasonable to infer that the charges that it did not consider would lack evidence of another justification. The 2022 D&D Report established that SM Line's practice was to [REDACTED] and further explained that SM Line's [REDACTED] were to [REDACTED] [REDACTED] CX_004744, S.H. Kim Dep. (SM Line) Ex. 2 at 3 (emphasis added). A top SM Line executive at Korea HQ characterized its D&D collection ambitions as "provocative" but not "pornographic." CX_000696-CX_000697, S.H. Kim (SM Line) Dep. Tr. 43:22-44:7.

At a minimum, the ID's limited award of \$1,913,355,80 relating solely to "port congestion" and "chassis shortage" charges, which as highlighted in green above SM Line applied to 29% of the charges it sampled, should have been extrapolated to **\$4,222,659** across the universe of charges in dispute.⁹ Moreover, if the reasonable inferences, as highlighted in yellow above, were extrapolated, SEA was entitled to an award of **\$10,130,223** for those categories. Thus, simply based on reasonable inferences from SM Line's own admitted evidence, SEA was entitled to a reparations award of \$14,352,882 (\$4,222,659 (extrapolated amounts highlighted in green for "port congestion" and "chassis shortage") and \$10,130,223 (extrapolated amounts highlighted in yellow for reasonable inferences) and excluding \$170,905 (extrapolated amounts highlighted in red for "Warehouse Issue," "Diversion," and "Samsung Operation Issue").

Fourth, SEA should recover the additional damages of over **\$2.6 million** for other costs and lost profits as a result of SM Line's unreasonable practices with respect to shipments of its cargo. SEA's damages claim is supported by the Smith Damages Expert Report. Mr. Smith's \$2.6 million additional damages calculation includes: (1) **\$45,939** in costs that SEA incurred due to the of additional personnel to handle the dramatic increase of land transportation charges; (2) **\$1,853,758** for the cost of the short-term leases for off-dock container yard storage that SEA used to remove containers from the port terminal to mitigate demurrage and storage charges assessed by port terminals, ocean carriers, and rail carriers; (3) **\$654,055** for extra trucking, fuel, gating charges, and lift charges; and (4) **\$41,840** in lost sales due to customer discounts due to delays. SEA Initial Br. at 51-63; CX_004474-CX_004477, Smith Damages Expert Report at 57-62.

⁹ Chassis shortages and congestion impacted other charges that SM Line did not include in its analysis which are supported by direct evidence in the record. For example, the D&D Summary Report did not include an evaluation of **any** of the \$2,476,788 of rail storage charges. The ID found that chassis shortages and congestion affected the charges inland rail terminals. ID FF ¶¶99, 105.

The ID erred in finding that the additional damages were not supported and were speculative, summarily concluding that “[t]here is no competent evidence linking these additional costs and lost profits to the unreasonable practices found to have violated section 41102(c). Accordingly, they are not compensable.” ID at 61. The ID’s two-sentence conclusory holding is not a sufficient basis on which to dismiss nearly \$2.6 million in reparations legitimately sought by SEA. As further explained in the Smith Damages Expert Report, SEA proved to a reasonable degree of certainty an entitlement to additional damages in specifically analyzed categories: \$45,939 for the hiring of additional employees, \$1,853,758 in short term leases, \$654,055 in inland transportation costs, and \$41,884 in lost revenue. CX_004474-CX_004476, CX_005478-CX_005573, Smith Damages Expert Report ¶¶57-59, 62, Ex. 11-14.

In sum, the ID’s award of only \$1,913,355.80 in damages represents just 13% of SEA’s actual losses, creating a windfall for SM Line that directly contradicts the Commission’s mandate to make injured parties whole. This creates an artificial and unwarranted distinction between charges explicitly mentioned in SM Line’s D&D Summary Report and identical charges assessed under the same unreasonable practice. Given the systematic nature of SM Line’s violations, the comprehensive documentation of SEA’s damages, and the Commission’s obligation to award reparations for “actual injury caused by a violation,” 46 U.S.C. § 41305(b), SEA is entitled to recover damages of **\$16,961,992**. *See discussion, infra*, at 50 n. 10 (showing calculation).

5. SEA Is Also Entitled to an Adverse Inference

SM Line failed to maintain records needed for a container-by-container analysis. Indeed, SM Line’s own expert admits that SM Line did not have enough data to support a container-by-container analysis. CX_003632, Clair (SM Line) Dep. Tr. 260:7:17 (“A container-by-container analysis could not be done on this because we don’t have the analysis and all communications that tie each container to know exactly why it was demurrage, why it was detention, when it went in,

why it stayed in, and all of the communications and all the reasons that went with it”). A wrongdoer’s own actions in allowing the charges-evidence destruction, which may have interfered in the complainant’s ability to prove its damages with more precision, may be considered:

[I]n situations *where a wrongdoer has by its own action prevented the precise computation of damages*, the Court has stated that the wrongdoer ***must bear the risk of the uncertainty and that damages can be shown by just and reasonable estimates based on relevant data.***

Cal. Shipping Line, 1990 WL 427466, at *23 (emphasis added) (citing *Bigelow*, 327 U.S. at 264-65); *see also In re NTL, Inc. Sec. Litig.*, 244 F.R.D. 179, 199 (S.D.N.Y. 2007) (a court must not “hold the prejudiced party to too strict a standard of proof regarding the likely contents of the destroyed or unavailable evidence because doing so would subvert the purpose of the adverse inference, and allow parties who have destroyed evidence to profit from that destruction”). With these principles in mind, and described more thoroughly in Section V.D, *infra*, SEA addresses the expert evidence tendered by each of the parties with respect to SEA’s damages.

The record clearly establishes that SM Line failed to preserve critical evidence regarding the reason for the delays and other circumstances resulting in its charges:

- 1) SM Line admitted that it automatically deleted emails older than 90 days in accordance with its document retention policy (ID at 39);
- 2) SM Line never instituted a litigation hold to preserve ESI (ID at 43);
- 3) SM Line’s own internal D&D Summary Report could only identify purported evidence for 62% of the charges it reviewed, with no evidence for the remaining 38% (ID FF ¶176).

The Commission should apply an adverse inference that the distribution of fault for the unanalyzed containers should be based on the distribution found in SM Line’s internal report.

B. SM Line’s Willful Violation of the Shipping Act Was on Full Display in the D&D Improvement Plan, Supporting an Award of Double Reparations

Under Section 41305(c), as amended by OSRA 2022, the Commission is authorized to

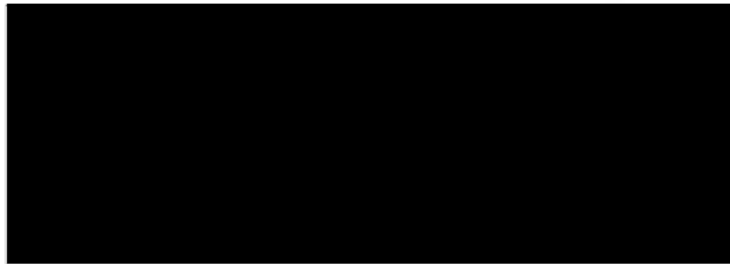
award additional damages for injury caused by violations of Section 41102(c), up to twice the amount of actual injury. Claimants showing injury caused by Section 41102(c) violations, like SEA here, have been awarded additional damages.¹⁰ See *Way Interglobal Network, LLC v. Shenzhen Unifelix Scm Ltd.*, Dkt. No. 22-28, 2024 WL 1741944, at *42 (ALJ Apr. 19, 2025) (awarding double damages for Respondent’s violation of Section 41102(c)).

In *Way Interglobal*, the Presiding Officer applied a knowing and willful standard in determining whether to award double reparations under Section 41305(c). 2024 WL 1741944, at *42. SM Line’s violations are precisely the type for which the Commission intended “additional amounts” to be assessed. Under this standard, “to prove that a person acted ‘knowingly and willfully,’ it must be shown that the person has knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence.” *Id.* at *43 (citing *Rose Int’l*, 2001 WL 865708, at *47 (citations omitted)). In *Way Interglobal*, the Commission found the respondent had repeatedly refused to release containers to obtain payment for other containers and negotiated the release thereof in bad faith, warranting doubling of the reparations under Section 41305(c). *Way Interglobal*, 2024 WL 1741944, at *43.

SM Line’s violations in this case warrant double reparations because they were knowing and willful violations, as demonstrated by the revealing D&D Improvement Plan which was

¹⁰ As a threshold matter, while SEA does not specifically refer to double damages in the Complaint, it described the factual basis of the violation and seeks “reparations for the unlawful conduct described above...as described in 46 U.S.C. § 41305” and “such other and further relief that the FMC deems is just and proper.” CX_00016, Compl. p. 16. Federal Rule of Civil Procedure 54(c) states that except in default, “final judgment should grant the relief to which each party is entitled, even if the party has not demanded that relief in its pleadings.” Fed. R. Civ. P. 54(c). The Commission’s award of double reparations pursuant to Section 41305 under the assertion of damages in a Complaint and Federal Rule of Civil Procedure 54(c) in *Way Interglobal Network, LLC*, is demonstrative of this point. 2024 WL 1741944, at *42.

created and internally distributed after the FMC’s warnings in OSRA 2022. CX_0004742-CX_0004751, Dep. Sung-Hyun Kim, Ex. 2 (dated October 26, 2022). This 2022 report explained that SM Line’s current D&D policy was to [REDACTED] and further explained that SM Line’s [REDACTED] for D&D were to [REDACTED] [REDACTED] CX_004744, S.H. Kim Dep. Ex. 2 at 3 (emphasis added). SM Line’s actual internal objectives were markedly different from its publicly-stated D&D purpose that was communicated externally—which SM Line clearly understood and explained in the report in graphic detail:



This above graphic is quoted verbatim from SM Line’s D&D Improvement Plan. CX_004744, S.H. Kim (SM Line) Dep. Ex. 2 at 3. It is clear from this graphic alone that SM Line knew its internal policy was unlawful and further recognized that it must deceive the public, regulators and other members of the shipping ecosystem into believing it had lawful reasons for charging these exorbitant fees. In the words of the Presiding Officer in *Way Interglobal*, SM Line had “knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act.” *Way Interglobal*, 2024 WL 1741944, at *43. Here, SM Line knowingly and willfully violated the Shipping Act, and reiterated its knowing and willful violations mere months after OSRA 2022 was enacted.

The ID similarly recognized how atrocious SM Line’s internal motives were: “The most telling evidence that SM Line’s demurrage and detention policies do not serve the purpose of

incentivizing freight fluidity comes from the 2022 DEM/DET Management Improvement Plan Report dated October 26, 2022 (CX_0004742-4751).” ID at 52. SM Line had no remorse for this report either. The senior SM Line Executive who created this report was promoted shortly thereafter. ID FF ¶135. When deposed about the report he drafted, the same high level SM Line Executive described the report as “provocative” but not “pornographic”—a tone deaf, unremorseful interpretation of the revealing substance of the report. CX_000696-CX_000697, S.H. Kim (SM Line) Dep. Tr. 43:22-44:7. SM Line understood OSRA 2022 as a warning to carriers who were acting unreasonably during the pandemic. And yet, this D&D Improvement Plan was SM Line’s reaction to that warning—to drive up revenue with its D&D charges. Instead of heeding the FMC’s warnings, SM Line decided it was more important to turn a profit.

Finally, Section 41305(c) should rightfully apply here. This case includes violations and injury after OSRA 2022, and as such, the Commission’s Section 41305 authority applies here. ID at 58-59 (acknowledging the existence of additional charges post-OSRA 2022, but denying reparations for want of a container-by-container analysis). In fact, after the enactment of OSRA 2022, SEA was invoiced and paid 8,191 charges for a total of \$2,451,337.36. On the grounds of SM Line’s willful and intentional violations of the Shipping Act, these damages suffered after the enactment of OSRA 2022 should be awarded as reparations and should be doubled, for an additional award of \$4,902,674.72.

However, the interests of equity suggest the award of double reparations should not be limited only to SM Line’s invoices issued post-OSRA 2022. There is no benefit to formalistically limiting additional damages only to shipments predating OSRA 2022 and to do so “would work a ‘manifest injustice’” against SEA and shipping industry’s customers – which, after all, is the “primary objective of the shipping laws administered by the Commission...” *Crocus Invs., LLC v.*

FMC, No. 21-1199, 2022 WL 3012275, at *2, 4 (D.C. Cir. July 29, 2022) (quoting *N.Y. Shipping Ass’n v. FMC*, 854 F.2d 1338, 1374 (D.C. Cir. 1988)) (permitting respondent to escape liability for even one instance of overcharging would not be in the best interests of the shippers). Here, SEA urges a different approach but similar principle to that adopted in *Crocus Investments*. Section 41305(c) and the calculation of additional damages should be applied **broadly** on the basis of all reparations awarded to ensure the Commission fulfills its objective of protecting shippers.

C. The Commission Should Find that SEA Is Entitled to Reparations, but if the Commission Finds that it Cannot Ascertain the Amount of Reparations from the Record, Rule 251 Should Be Applied

Rule 251, titled “Proof on award of reparation,” provides in relevant part that “[i]f many shipments or points of origin or destination are involved in a proceeding in which reparation is sought ... [i]f complainant is found entitled to reparation, the parties thereafter *will be given* an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding reparation is entered.” 46 C.F.R. § 502.251 (emphasis added). In such event, if the amount of reparations “cannot be ascertained upon the record before it,” Rule 252 states that the complainant and respondent shall exchange reparations statements to be “filed with the Commission for consideration in determining the amount of reparation due. Disputes concerning the accuracy of amounts may be assigned for conference by the Commission, or in its discretion referred for further hearing.” 46 C.F.R. § 502.252.

As set forth above, the ID found that SEA carried its burden of proving that SM Line violated the Shipping Act in multiple respects and that SEA was entitled to an award of reparations. As also set forth above, it is SEA’s position that it should be found entitled to additional reparations. The difference in reparations awarded in the ID, and that SEA argues it is entitled to here, is largely due to the ID’s position that additional container-by-container evidence was required to establish proximate cause for the majority of the charges. SEA strongly disagrees with

that position, and believes that the applicable law and record support the entitlement to the reparations claimed. However, should the Commission conclude that it has concerns with the evidence on reparations, whether on a container-by-container basis or if it otherwise cannot ascertain the amount of reparations from the record, Rule 251 should be applied.

This proceeding involves 15,961 individual charges and “many shipments or points of origin or destination are involved,” which is the circumstance specifically described in Rule 251. As set forth therein, when Rule 251 applies, the regulation provides that the “parties thereafter **will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due** before the order of the Commission awarding reparation is entered.” 46 C.F.R. § 502.251 (emphasis added). The usage of “will” connotes a mandatory undertaking which cannot be ignored, though the Presiding Officer did not acknowledge SEA’s references to the Rule as potential tool if there was any evidentiary question. SEA Initial Br. at 78. Moreover, when a party has been injured, but the evidence of reparations raises some ambiguity, Rule 251 has historically been applied as the appropriate mechanism. *See, e.g., Perry’s Crane Serv. v. Port of Houston*, Dkt. No. 75-51, 16 S.R.R. 1459, 1490 (ALJ Sept. 28, 1976) (holding that, where the complainant established a violation of the Shipping Act, Rule 251 was appropriate because “[i]t would be unconscionable, in my opinion, to leave complainant without some degree of pecuniary restitution for his troubles”).

That is the case here, where SM Line’s multiple violations have injured SEA. If there is any question about the sufficiency of evidence supporting proof of reparations, the appropriate remedy is not awarding the wrongdoer with a windfall of ill-gotten gains. As courts have universally recognized “it would be a perversion of fundamental principles of justice to deny all relief to the injured person, and thereby relieve the wrongdoer from making any amend for his

acts.” *Story Parchment Co. v. Paterson Parchment Paper Co.*, 282 U.S. 555, 563 (1931); *Perry’s Crane Serv.*, 16 S.R.R. at 1490, *aff’d* 19 F.M.C. 548, 551 (FMC Feb. 25, 1977) (affirming the ID’s finding that “Complainant is entitled to some degree of monetary restitution for losses occasioned by the unlawful practices”).

After its review, if the Commission has any concern as to the sufficiency of reparations evidence, Rule 251 mandates that the parties be given a chance to address proof of reparations before the order of the Commission awarding reparations is entered. 46 C.F.R. § 502.251.

D. SEA Proved Entitlement to an Adverse Inferences Finding, or at a Minimum, Entitlement to Legal Fees for SM Line’s Spoliation of Evidence

The ID incorrectly found that SM Line did not engage in spoliation of evidence despite knowingly failing to institute any form of litigation hold or otherwise preventing the destruction of documents which SM Line knew to be relevant to SEA’s claims.

The ID’s finding that the duty to preserve evidence arose on the date the Complaint was filed, April 19, 2023, is in error. In so finding, the Presiding Officer rejected SEA’s claim that the duty to preserve actually arose at least seven months earlier on the date of SEA’s Demand Letter, September 23, 2022. The Presiding Officer bases this finding on one sentence of the demand letter, which the Presiding Officer concludes makes the Demand Letter “equivocal”: “Notwithstanding the foregoing, Samsung prefers to reach a private and amicable resolution on mutually-acceptable terms. Please provide written confirmation within two weeks from the date of this letter to indicate SM Line’s interest in reaching a confidential settlement.” ID at 42.

Federal Rule of Civil Procedure 37(e), applicable to this proceeding pursuant to 46 C.F.R. § 502.12, governs the procedures and sanctions available for spoliation of Electronically Stored Information (“ESI”). Rule 37(e) has five threshold requirements: (1) the information must be ESI; (2) there must have been anticipated or actual litigation that triggers the duty to preserve ESI; (3)

the relevant ESI should have been preserved at the time of the litigation was anticipated or ongoing; (4) the ESI must have been lost because a party failed to take reasonable steps to preserve it; and (5) the lost ESI cannot be restored or replaced through additional discovery. Fed. R. Civ. P. 37(e); *DR Distribs., LLC v. 21 Century Smoking Inc.*, 513 F. Supp. 3d 839, 958 (N.D. Ill. 2021).

Assuming that the factors above are present, upon a finding that the destruction of ESI causes prejudice to another party, a court may order measures necessary to cure the prejudice, including adverse inferences that the destroyed evidence was unfavorable to the defendant. *Dish Network L.L.C. v. Jadoo TV, Inc.*, No. 20-CV-01891-CRB (LB), 2022 WL 11270394, at *3 (N.D. Cal. Oct. 19, 2022). Under Rule 37(e)(2), upon a finding that the spoliating party acted “with the intent to deprive another party of the information’s use in the litigation,” a court may impose a mandatory adverse inference instruction that the evidence was intentionally destroyed and that the lost information was unfavorable. *Id.*

Courts have interpreted the obligation to preserve ESI to arise when litigation is pending or reasonably foreseeable. *Oil Equip. Co. v. Modern Welding Co.*, 661 F. App’x 646, 652 (11th Cir. 2016). Thus, “a party to civil litigation has a duty to preserve relevant information, including ESI, when that party has notice that evidence is relevant to litigation or.... should have known that evidence may be relevant to future litigation.” *John B. v. Goetz*, 531 F.3d 448, 459 (6th Cir. 2008); *see, also, Does 1-5 v. City of Chicago*, Case No. 18-cv-03054, 2019 WL 2994532, at *4 (N.D. Ill. July 9, 2019) (duty to preserve documents was triggered by receipt of demand letter, especially considering “a 30-day destruction policy at the time”); *Compass Bank v. Morris Cerullo World Evangelism*, 104 F. Supp.3d 1040, 1051 (S.D. Cal. 2015) (“[T]he duty to preserve arises not only during litigation, but also extends to the period before litigation when a party should reasonably know that evidence may be relevant to anticipated litigation.”).

It is peculiar that the ID relies almost exclusively on the case *Steves and Sons, Inc. v. JELD-WEN, Inc.*, 327 F.R.D. 96 (E.D. Va. 2018) in support of its position. *See* ID at 42. In that case, the spoliator of evidence, Pierce, sent an email to JELD-WEN outlining the procedures that he and the Steves Brothers should take to protect themselves in the event of “potential J[ELD-WEN] retaliation.” *Id.* at 106. The court found the email language implying “impending litigation” was “compelling evidence that Pierce knew or should have known,” coupled with the fact that Pierce made those statements having testified in a similar misappropriation proceeding. The facts in this case are so far from the facts in SEA’s underlying dispute that it strains to see the comparison.

By contrast, numerous cases hold that a demand letter is sufficient to give notice that litigation is “reasonably anticipated, giving rise to a duty to preserve evidence. *Turner v. U.S.*, 736 F.3d 274, 282 (4th Cir. 2013) (acknowledging that “correspondence threatening litigation” would be sufficient to trigger a duty to preserve evidence); *Keithley v. Homestore.com, Inc.*, 629 F. Supp. 2d 972, 977 (N.D. Cal. 2008) (the duty to preserve evidence arose no later than the date when plaintiffs sent defendants a letter stating that “we assume that Homestore.com wishes to litigate this matter. Unless we hear otherwise by close of business Tuesday, August 7, 2001, we will advance this matter accordingly”); *Surowiec v. Capital Title Agency, Inc.*, 790 F. Supp. 2d 997, 1006 (D. Ariz. 2011) (where a “letter openly threatens litigation, then the recipient is on notice that litigation is reasonably foreseeable and the duty to preserve evidence relevant to that dispute is triggered”); *Goodman v. Praxair Servs., Inc.*, 632 F. Supp. 2d 494, 511 (D. Md. 2009) (pre-filing communications between litigants can provide constructive notice that litigation is likely, and demand letters stating a claim may be sufficient to trigger an obligation to preserve).

SM Line should have “reasonably anticipated” litigation. The ID was correct that the letter sent to SM Line does contain a one-sentence preference for non-litigious alternatives. However,

the entire remainder of the letter outlines the claims for which SEA “intends to seek reparations before the Federal Maritime Commission (“FMC”) for the entire amount of the Fees.” SM Line_0127027. SM Line’s own response anticipated a need to preserve evidence in order to address the contents of the letter. In order to better appreciate the gravity of the allegations against them, SM Line acknowledged that it would need to “evaluate the specifics of [the] allegations” and “receive more information regarding [the] claim and the demand amount.” Motion to Compel and for Sanctions for Spoliation of Evidence, Dkt. 83, Ex. 4 (“Motion for Sanctions”). There is no doubt that SM Line knew litigation was “reasonably anticipated,” and that it had a duty to preserve evidence that would be imminently destroyed by the SM Line retention policy.

On the issue of intent, the ID relied on the Committee Advisory Notes to the 2015 Amendment (“2015 Notes”) for the proposition that a showing of bad faith is required to prove entitlement to adverse inferences, and ultimately used this as a basis to deny adverse inferences sanctions because the Presiding Officer held there was no bad faith involved in the destruction of the Korea office emails. ID at 41, 43. However, the 2015 Notes do not mention the words “bad faith.” The 2015 Notes reject cases holding that negligence or gross negligence is sufficient, but does not go so far as to proclaim that bad faith is required in order to meet the requirement of “intent to deprive.” Advisory Committee Notes to 2015 Amendment, Section (e)(2). The ID also relies on *Rimkus Consulting Group, Inc. v. Cammarata*, 688 F. Supp. 2d 598 (S.D. Tex. 2010), which was notably decided five years before the cited Amendment notes.

By contrast, an intent to deprive can be “found either from a conscious act of destruction or a ‘conscious dereliction of a known duty to preserve electronic data.’” *Fashion Exch. LLC v. Hybrid Promotions, LLC*, No. 14 Civ. 1254 (SHS) (OTW), 2019 WL 6838672, at *5 (S.D.N.Y. Dec. 16, 2019) (quoting *Ungar v. City of New York*, 329 F.R.D. 8, 13 (E.D.N.Y. 2018)). Such an

intent has been found where a party “did not intentionally take any steps to preserve [] emails.” *Ottoson v. SMBC Leasing & Fin., Inc.*, 268 F. Supp. 3d 570, 582 (S.D.N.Y. 2017) (“Any one of these scenarios satisfies the requisite level of intent”).

The ID found that “there is no evidence that SM Line ever instituted a litigation hold to preserve ESI at any point after the Complaint was filed as it was required to do in accordance with Fed. R. Civ. P 37(e).” ID at 43. As described above, SM Line was aware of the direct relevance of the Korea office emails at a time when it could still have been preserved yet chose not to do so—both prior to formal discovery and through the entire litigation process. In other words, SM Line acting with a “conscious dereliction” of their known duty to preserve. *Id.* SM Line knew that the emails would be imminently destroyed according to the strictly enforced retention policy. *See, e.g., DR Distrib.*, 513 F. Supp. 3d at 979 (“[D]isabling an autodeletion function is universally understood to be one of the most basic and simple functions a party must do to preserve ESI”); *Montoya v. Orange Cnty. Sheriff’s Dep’t*, No. SACV 11-1922 JGB, 2013 WL 6705992, at *9 (C.D. Cal. Dec. 18, 2013) (sanctioning a litigant under the duty to preserve for “unilaterally determin[ing] that the server and computer system did not have any” relevant documents and neglecting to halt auto-deletion). It is clear from these facts that SM Line chose blissful ignorance over its affirmative duty to protect relevant documents, which is grounds for sanctions.

SEA does not need to prove bad faith, or even intent to deprive, to obtain the lesser sanction of curative measures, such as attorney’s fees, under FRCP 37(e)(1). It only needs to show that it has been prejudiced. SEA was significantly prejudiced by SM Line’s destruction of ESI before and during this proceeding because the destroyed documents were relevant to SEA’s claims. This forced SEA to litigate these issues unnecessarily. *DR Distrib.*, 513 F. Supp. 3d at 981 (“‘Prejudice’ under Rule 37(e) means that a party’s ability to obtain the evidence necessary for its case has been

thwarted... Prejudice also occurs when parties are forced to unnecessarily litigate e-discovery issues when ESI is spoliated.”) (citations omitted).

On the issue of relevance, the ID found that “the record establishes the SM Line’s Korea office was only involved with charge disputes in which the SM Line clients requested a discount or inactivation of a demurrage or detention charge above a certain amount.” ID at 43. This conclusion is not supported by the evidence in the record and is even in conflict with the ID’s own findings of fact. The ID’s own findings of fact demonstrate that Korea office emails were relevant to SEA’s arguments:

- ID FF ¶91 conclusively finds that “SM Line admits that only the Network Operations Team (known as SELCON) in SM Line’s Korea HQ could approve a stop clock. (CX_1597-98, Ma (SM Line) Dep. Tr 87:17-88:2; CX_1391, Askins (SM Line) Dep. Tr. 96:14-25; SEAPFF ¶126; SMLRPFF ¶126.)” ID FF ¶91.
- SM Line admits, and the ID Findings of Fact concur, that SM Line should institute stop clocks “if the terminal was not accepting equipment, but if a trucker was stuck in a long line and could not get to the terminal no stop clock would be issued because that was beyond SM Line’s control.” ID FF ¶92. Instituting a stop clock did not require a customer to first contest charges—SM Line’s Korea office had authority to institute stop clocks without the customer’s dispute to trigger it. CX_000492-CX_000493, KK Choi (SM Line) Dep. Tr. 139:16-140:6 (explaining that SM Line would institute stop clocks prior to issuing invoices).
- The ID also conclusively found that the Korea office was “responsible for setting and managing SM Line’s D&D policy per the Management Plan,” ID FF ¶124, and that the SELCON team was not just responsible for approving waivers and discounts, but were “responsible for demurrage and detention management procedures.” ID FF ¶129. This means that any emails implementing and enforcing the egregious D&D Improvement Plan (which prioritized profits over reasonableness of D&D charges) were destroyed pursuant to the retention policy.

It is beyond dispute that SM Line destroyed relevant information pursuant to the Korea office’s strict enforcement of its retention policy.

- All communications relating to the SELCON team voluntarily inactivating or discounting SEA D&D invoices were destroyed by the strict retention policy and unavailable to support SEA’s claims. Contrary to the ID’s focus on whether SEA disputed charges, the record is clear that SM Line did not need to wait to inactivate or discount charges upon a customer disputing a charge—this was a decision that

could be made without customer request, and even prior to invoices being issued in the first place. CX_000149-CX_000152, 143(b)(6) KK Choi I (SM Line) Dep. Tr. 121:17-122:19, 123:21-124:20 (SM Line would inactivate “voluntarily” meaning without customer request); *see also* CX_000404, KK Choi (SM Line) Dep. Tr. 51:3-23 (extending last free day without customer request); CX_000433-CX_000434, KK Choi (SM Line) Dep. Tr. 80:10-81:16 (providing two examples of inactivation review, no mention of customer request in either example).

- Korea office emails relating to charges over the threshold amount for U.S. office waivers were lost and unavailable. From the total charges in dispute 3,783 charges (totaling \$12,800,000) were over the threshold amount and required communication to Korea office personnel. Mot. for Sanctions at 2. The Korea office almost exclusively communicated via email on the issues of inactivation or discount requests. CX_000617, CX_000620, Jung (SM Line) Dep. Tr. 51:5-10, 54:7-10.

SEA sufficiently satisfied all elements for an adverse inference sanction.

VI. CONCLUSION

SEA requests that the Commission enter an order affirming the ID's finding of a violation with respect to SM Line's unreasonable practices and increase the reparations award to at a minimum **\$16,961,992**¹¹ for inland transportation charges and additional damages for other costs and lost profits. In addition, SEA should be awarded double damages as addressed in Section V.B., *supra*. In the alternative, to the extent that there is any question about the adequacy of the evidence showing that SM Line's unlawful practices proximately caused the D&D charges actually paid by SEA, the Commission should provide for a further evaluation of damages evidence pursuant to Rule 251. Finally, SEA asks the Commission to make an affirmative finding that SEA is entitled to adverse inferences because SM Line spoliated evidence.

Dated: June 20, 2025

Respectfully submitted,

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¹¹ This amount is reached by taking SEA's total claim of \$17,134,787 (\$14,534,787 in direct damages plus \$2.6 million in additional damages) and then deducting (i) \$170,905 in extrapolated charges attributable to SEA responsibility from the D&D Summary Report, and (ii) the \$1,890 in demurrage costs associated with FF 111 explained in footnote 2, *supra*.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 20th Day of June 2025, the foregoing document was served
via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
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